

Disposition

The Court finds and orders as follows:

1. The Motion for Fees and Costs is **DENIED**, without prejudice.
2. Plaintiff to prepare the order after hearing.

3. 9:00 AM CASE NUMBER: C25-02209
CASE NAME: BRASS DOOR RESTAURANT INCORPORATED VS. 8 TO 5 PROPERTIES LLC
CROSS COMPLAINT
FILED BY: BRASS DOOR RESTAURANT INCORPORATED
TENTATIVE RULING:

Before the Court is a demurrer by cross-defendants, Shahla Azad, Seyed Ali Akbar Hejazian Yazdi, Mehrdad Hejazian, and Milad Hejazian to the cross-complaint filed by 8 to 5 Properties, LLC. **The demurrer is SUSTAINED, with leave to amend.** Any amended cross-complaint shall be filed and served on or before September 10, 2026.

A. Allegations and Background

8 to 5 Properties, LLC (“Landlord”), is the owner of commercial property in San Ramon (“premises”) consisting of a restaurant building, landscaping, sidewalks and a parking lot. The building houses The Brass Door, a steak house restaurant that has operated at that location for 60 years. The family of Landlord’s managing member, Nancy Schlesinger, has owned the premises for 78 years. (Cross-Complaint, ¶8.) On July 1, 2015, the original operator of The Brass Door and Landlord signed a new 10-year lease. (*Id.* at ¶9.) Soon after that, the business was sold to Shahla Azad and Seyed Ali Akbar Hejazian Yazdi. The original operator assigned the lease to them, with Landlord’s consent, on March 4, 2016. (See Cross-Complaint, Exhibits 1-2 [Lease and Assignment].) Milad and Mehrdad Hejazian are the “purported Manager” and self-proclaimed authorized “signatory” for Brass Door Restaurant. (Cross-Complaint, ¶¶4-5.)

During the Covid pandemic, “Individual Tenants” (a term not defined in the cross-complaint) approached the Landlord and requested rent relief, claiming severe financial hardship. Relying on these representations, Landlord executed a Temporary Addendum to the Lease on June 18, 2020, the effect of which was to reduce the amount owed to Landlord and require certain disclosures to Landlord. (See Cross-Complaint, ¶10, Exhibit 3 [Temporary Addendum].) When this addendum was signed, it was not disclosed that “Tenant/Individual Tenants” had already received or been approved for a Paycheck Protection Program loan of \$215,000 and ultimately received approximately \$2,000,000 in pandemic relief funds. (Cross-Complaint, ¶11.) Had Landlord been aware of this, Landlord would not have agreed to reduced rent. (*Ibid*)

“Tenant and Individual Tenants” benefited from \$62,832.36 in deferred rent. (Cross-Complaint, ¶12.) After Individual Tenants claimed to be suffering severe financial hardship, benefitted from the deferred rent, and received approximately \$2,000,000,00 from various pandemic relief funds, Individual Tenants purchased a property at 10 Hi Eagle Road, Alamo, California. (Cross-Complaint, ¶13.) Landlord believes the pandemic relief funds that were received by cross-defendants should have been paid to it, but were instead diverted to purchase the real property in Alamo. (*Ibid.*) The cross-complaint further alleges the property was transferred several times to hide the Individual

Tenants' actual interest in the property. (*Ibid.*)

The cross-complaint alleges failures by cross-defendants to maintain the premises in accordance with the lease terms, even upon being notified of the conditions through two inspection reports, such that in July 2025, the premises needed \$253,783 in immediate repairs. (Cross-Complaint, ¶¶14-15.) The cross-complaint also alleges failures by cross-defendants to maintain "all-risk" property insurance in accordance with the lease terms. (Cross-Complaint, ¶16.) The term of the lease expired June 30, 2025, and included options to extend, but cross-defendants failed to exercise their option in accordance with the terms. (Cross-Complaint, ¶¶17-18.) At the time of the attempted exercise of the option, cross-defendants were in default for unpaid rent, failure to maintain the premises, and failure to provide proof of insurance. (Cross-Complaint, ¶19.) Landlord served a 3-Day Notice to Cure or Quit on February 14, 2025, but the defaults were not cured and cross-defendants remain in possession. (Cross-Complaint, ¶¶20-21.)

On November 26, 2025, 8 to 5 Properties, LLC filed the cross-complaint, alleging causes of action for (1) Breach of Contract (Failure to Maintain Premises), (2) Breach of Contract (Failure to Maintain Adequate Insurance), (3) Unlawful Detainer, (4) Breach of Contract (Failure to Pay Rent), (5) Fraud, and (6) Breach of Covenant of Good Faith and Fair Dealing.

After efforts to meet and confer (see Declaration of Howard Olsen in Support of Demurrer, filed 4/8/26), cross-defendants filed this demurrer. All cross-defendants demur to the fifth cause of action for fraud while Mehrdad and Milad Hejazian demur on three grounds to the entire complaint on the following bases: (1) failure to state a cause of action, (2) uncertainty, and (3) misjoinder of parties.

Cross-complainant, 8 to 5 Properties, LLC, opposes the demurrer, arguing the usual pleading specificity required for fraud should be excused since the facts constituting the fraud here are peculiarly within the knowledge of the cross-defendants. They further argue that leave to amend should be granted in order to correct the "minor linguistic imperfections" leading to some uncertainty regarding the term "Individual Tenants."

B. Standard

In reviewing the sufficiency of a complaint (or cross-complaint), all material facts properly pleaded are deemed admitted, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318, citations omitted.) The complaint is read as a whole and the parts in their context, considering matters which may be judicially noticed. (*Ibid.*; Code Civ. Proc. § 430.30(a).)

C. Discussion

(1) Demurrer by all Cross-Defendants to Fraud (Fifth C/A)

Cross-defendants demur to the fifth cause of action based on the ambiguity of the term, "Individual Tenants." Cross-complainant opposes, arguing the pleading provides sufficient notice to prepare a defense.

"The elements of fraud that will give rise to a tort action for deceit are: (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974, internal quotation marks omitted; see also Civ. Code, §§ 1709-1710.) While generally fraud must be pleaded with specificity, less particularity is nonetheless required when the facts lie more in the knowledge of the opposite party.

This is applicable in the context of a cause of action for concealment where, from the nature of the allegations, the defendant must necessarily possess full information concerning the facts. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384, citations omitted.)

The problem here is that the cross-complainant and its managing member can provide more specificity. They likely know, for example, whether there was one conversation or more, what was said, whether the communication(s) was via phone or in person, which individual made the representation(s) concerning financial hardship and inability to pay rent, and which individual represented that no Covid relief was awarded. The lack of specificity, combined with the allegations against the individuals as a group, cause uncertainty and, potentially, also a failure to plead sufficient facts. The defect is readily curable, however, as cross-complainant points out, so leave to amend is warranted.

The demurrer to the fifth cause of action is sustained with leave to amend.

(2) Demurrer by Milad and Mehrdad Hejazian to all Causes of Action

As for the demurrers by Milad and Mehrdad Hejazian, neither is a signatory to any of the contract documents referred to in the pleading. In response to the demurrer, cross-complainant provides minimal analysis and no citations to authority for the position that designating Milad Hejazian as Manager and Mehrdad Hejazian as “signatory” is sufficient to allege contractual causes of action against them.

While numerous allegations refer to “Individual Tenants,” they are not “tenants” pursuant to any document attached to the cross-complaint, or subject to judicial notice. Because all the causes of action, aside from fraud, generally require a contractual relationship or possession of the premises (for unlawful detainer), the current allegations are insufficient to constitute a cause of action against Milad or Mehrdad Hejazian, even assuming they did represent themselves as agents of the restaurant.

Milad and Mehrdad Hejazian’s demurrer must therefore be sustained in full, with leave to amend.

4. 9:00 AM CASE NUMBER: C25-02209
CASE NAME: BRASS DOOR RESTAURANT INCORPORATED VS. 8 TO 5 PROPERTIES LLC
EXPUNGE LIS PENDENS
FILED BY: HEJAZIAN, MILAD
TENTATIVE RULING:

The motion to expunge *lis pendens*, filed by individual plaintiff / cross-defendant, Milad Hejazian, is **GRANTED**, as discussed below.

A. Background

This is a commercial lease dispute. In relevant part, the verified cross-complaint (filed by landlord, 8 to 5 Properties, LLC) alleges that the individuals named therein have committed fraud by misleading landlord into believing that they had failed to receive any Covid relief when, in fact, they had received such funds. The individuals then used the Covid relief money from the government to purchase a parcel of residential property in Alamo.